



Financial Markets and Investments in China:

Foreign Exchange Market

14 January 2024, Group Nr. 2



Group 2

Through a diverse group, we are analyzing and viewing the foreign exchange market from diverse perspectives.



Giacomo
Brusadelli

2402010115



Andrea
Conti

2402010117



Lucien Leon
Frei

2402010112



Ren Kai
(任凯)

2401212437



Mads Victor
Kristensen

2402010103



Magnus
Raffnsøe-Møller

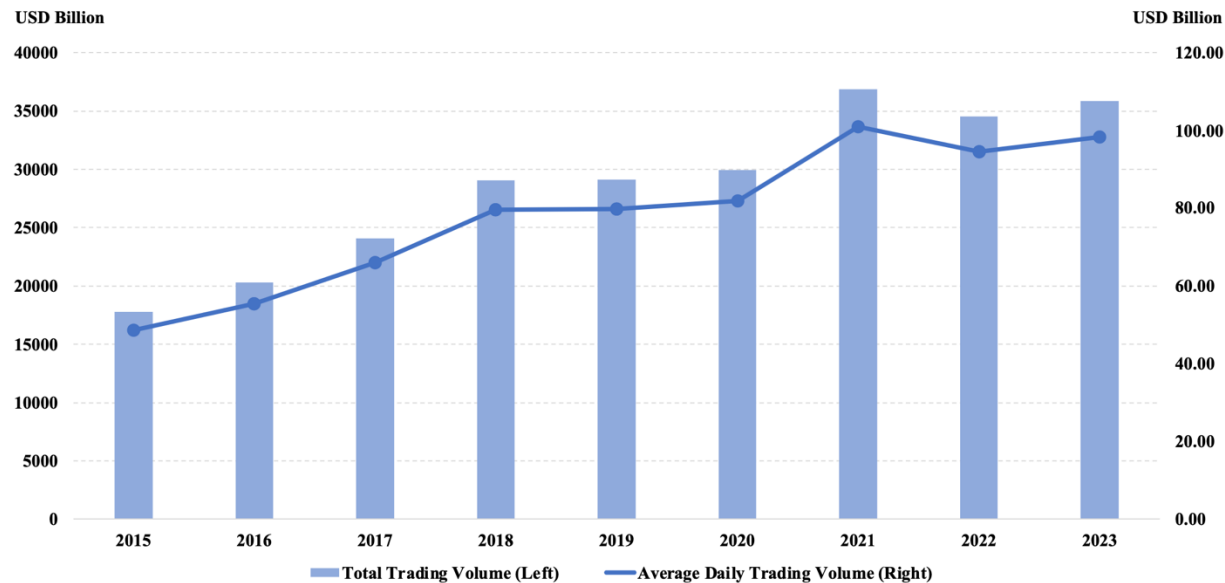
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China's forex market is one of the largest globally but faces challenges such as increased pressure, RMB depreciation, capital outflows, and a tougher US stance, among others.

Total and average daily trading volume of China's forex market



- **China's forex market** is **one of the largest globally**, with a 2023 trading volume of \$35.85 trillion.
- Daily trading volume rose from \$48.67 billion in 2015 to **\$98.21 billion** in 2023.
- Peak **daily volume** was **\$101.01 billion** in 2021.

Problem Statement

- The **RMB's global presence** has grown as **China's economy** and external linkages **expand**.
- **Reforms** in China's **forex market** over the past two decades have **strengthened** the **RMB's** role.
- In **2015**, China moved to a **market-determined RMB exchange** rate, boosting investor interest and trade settlement.

Problem Statement

Increased pressure on China's forex market due to global volatility.

RMB depreciation and intensified exchange rate fluctuations.

Capital outflows contributing to economic strain.

Tougher US stance under Trump's second term complicating the situation.

Our motivation for the project stems from our interest in developing solutions to ensure China's efficient development, which we will analyze using a three-step framework.

Our motivation and impact of the project

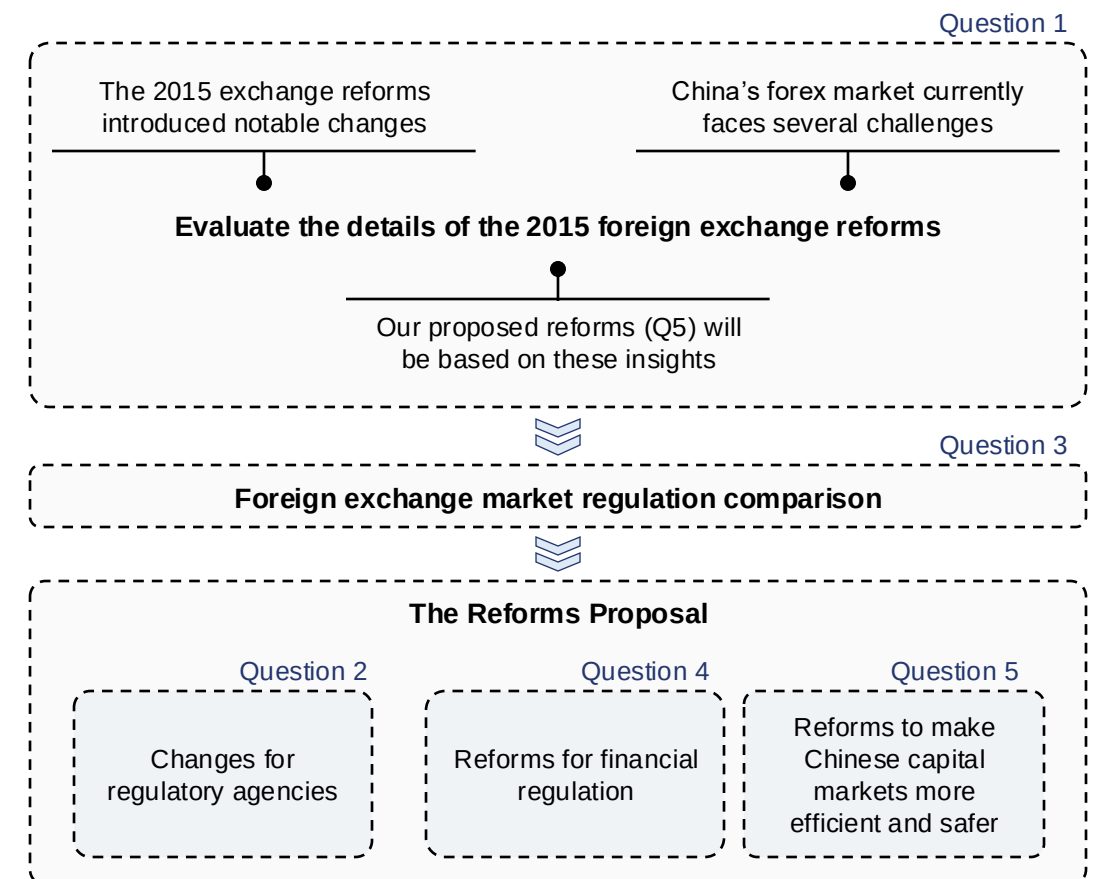


Our project **aims** to **propose targeted reforms** for China's foreign exchange market based on past experiences and current challenges to ensure its efficient development:

- ✓ Propose reforms based on the **2015** exchange rate **adjustment** and its **outcomes**.
- ✓ **Address** current **complexities** and **external pressures** affecting the forex market.

- 1 Improved stability in China's foreign exchange market.
- 2 Enhanced investor confidence in the RMB.
- 3 Reduced vulnerability to exchange rate volatility.
- 4 Strengthened resilience against external economic pressures.

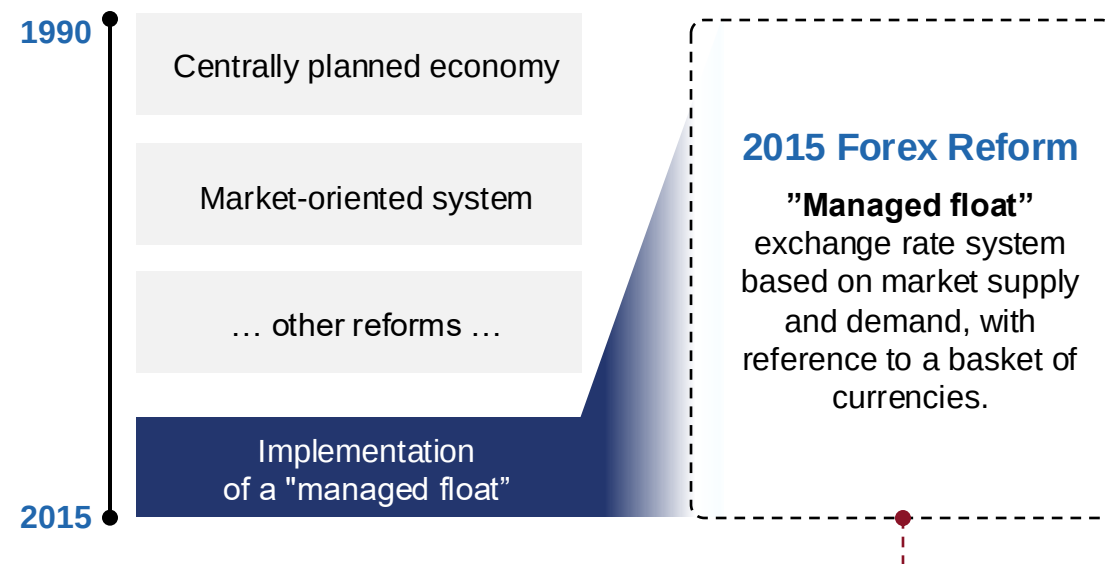
Our research framework



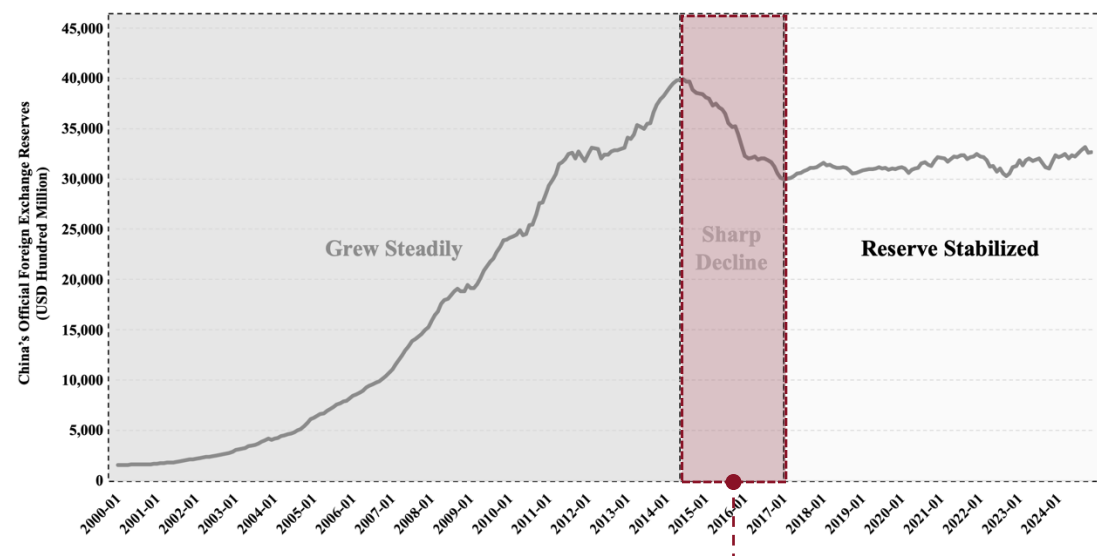
Question 1

The 2015 forex reform saw the PBOC implement a “managed float” exchange rate system, driven by market supply and demand and referencing a basket of currencies.

Timeline of foreign exchange reforms



China's foreign exchange reserves from 2000 to 2024



Impact

2015 Reform

- led to a managed float exchange rate system based on market forces.

Market Forces

- increased influence on the Chinese yuan (CNY) and currency fluctuations.

Reserve Decline

- occurred due to depreciation of the yuan and capital outflows after the reform.

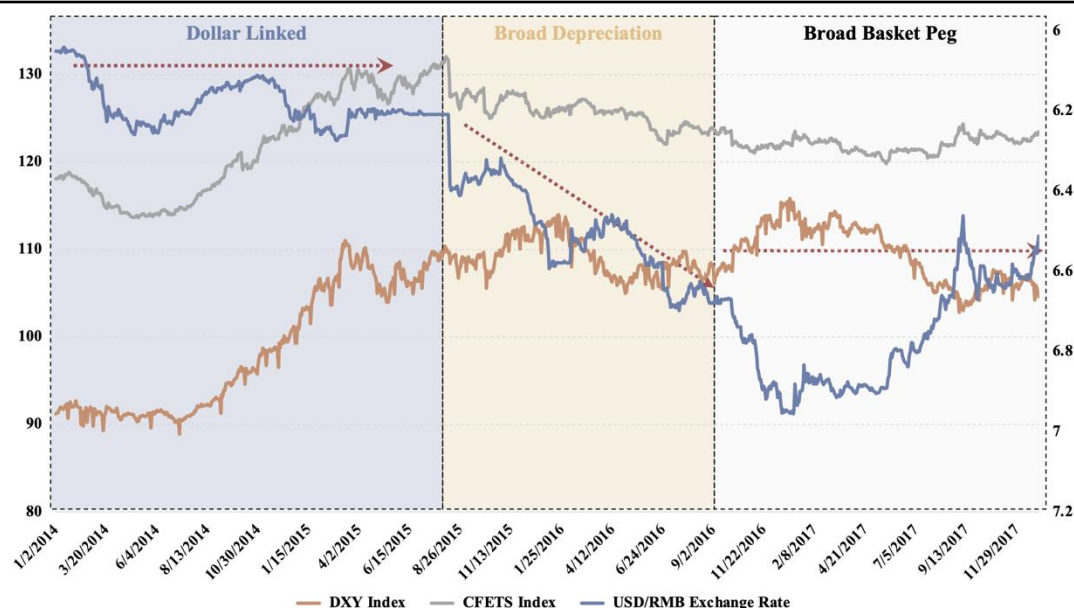
Stabilized Reserves

- after the initial decline, foreign exchange reserves returned to stability.

Question 1

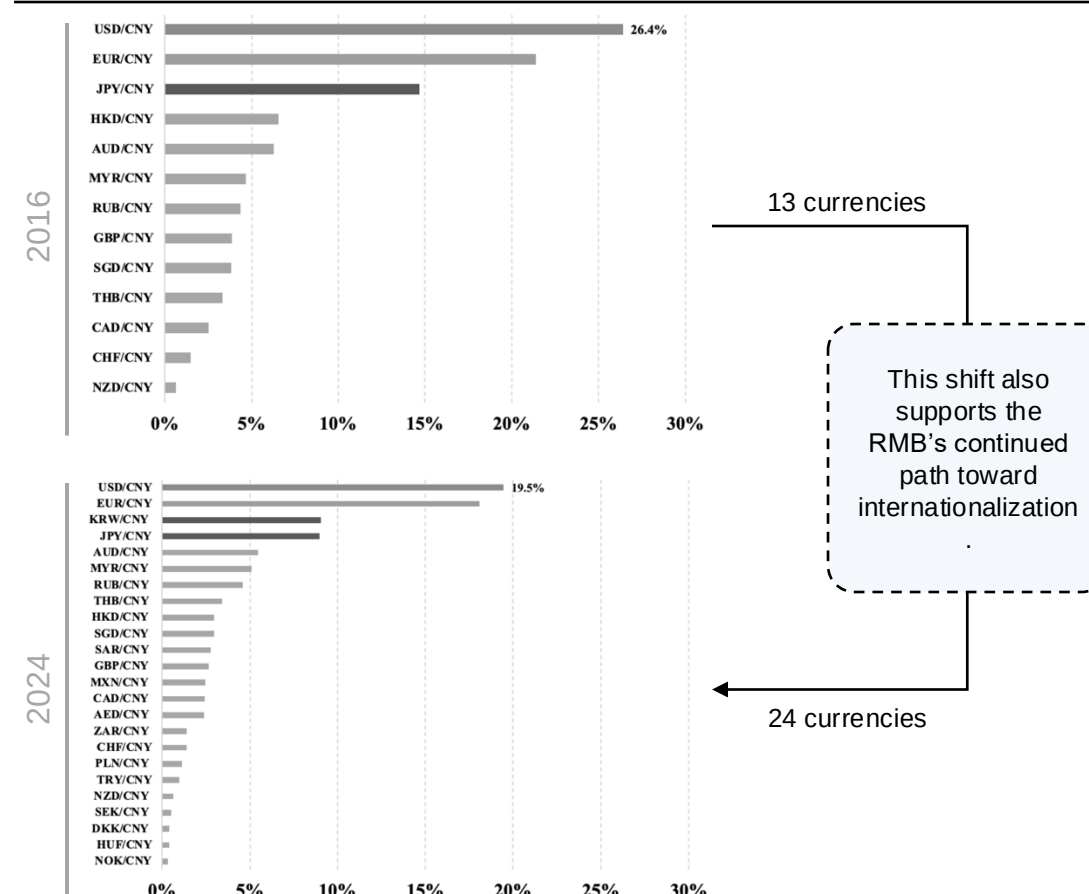
Shift from a USD-linked RMB to a managed float, causing devaluation and volatility, followed by efforts to reduce USD reliance and promote RMB internationalization.

Daily exchange rates and currency indexes under different regimes



- **2014-2015:** RMB was tightly linked to the USD, with minimal fluctuation in the RMB/USD rate.
- **Aug. 2015:** PBOC's reforms led to a 1.9% devaluation, causing market turbulence and triggering capital outflows.
- **2016-2017:** RMB entered a phase of broad depreciation, weakened by 6.8%, before stabilizing under a basket peg & reducing reliance on USD.

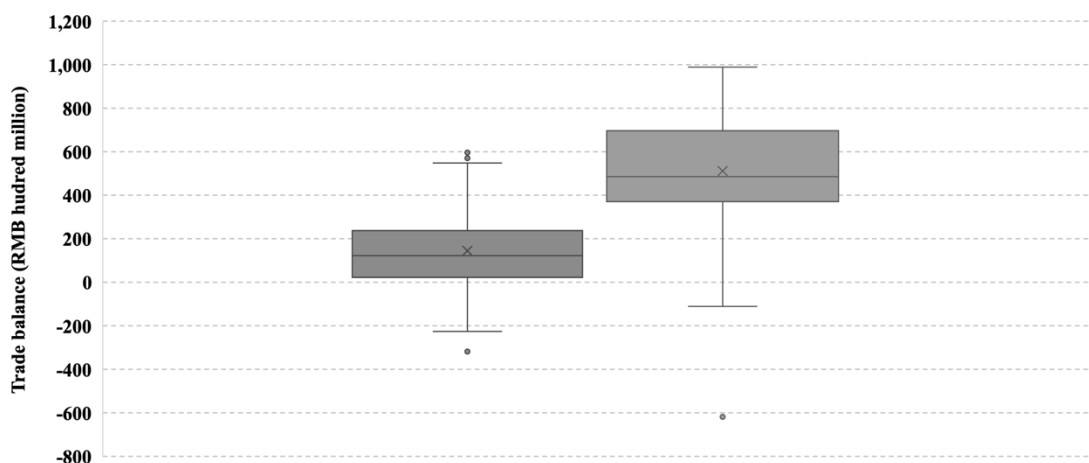
Percentage composition of the CFETS RMB Index



Question 1

China's exchange rate policy became more flexible post-2015 but increased volatility, with the US-China trade war and Trump's return in 2025 heightening pressures on RMB.

Trade balance pre- and post-2015 forex policy reforms



Pre-2015 Policy

Post-2015 Policy

Shows a narrow interquartile, which indicates a lower variability compared to the post-2015 plot.

In the post-2015 policy plot, we see a larger amount of variability and more extreme outliers.

2015 policy introduced more flexibility in relation to the exchange rate, however it also introduced more volatility in the trade performance.

Trade war between USA and China

Impact

2017

First Trump Administration

Introduced structural breaks that have amplified dependency shifts among currencies

Depreciation pressures

Exchange rate volatility

Capital outflow pressures

2025

Second Trump Administration

The situation has re-emerged as a point of concern



Difference-in-differences analysis

Strain?

Pressure?

Instability?

Question 1

We find that the RMB is affected by the trade war with the US and is more sensitive to exogenous pressures, as China aims to balance international responsiveness and stability.

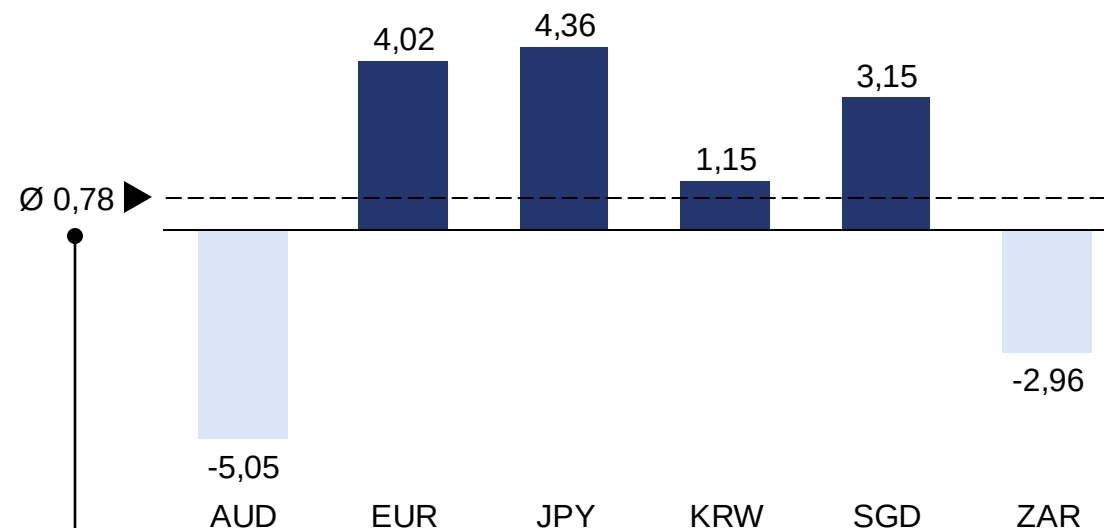
Effect of the trade war on currency dependences with USD

	Dependent variable					
	AUD	EUR	JPY	KRW	SGD	ZAR
β_i	107.804*** (0.153)	105.456*** (0.118)	110.311*** (0.198)	106.609*** (0.133)	105.845*** (0.399)	114.961*** (0.399)
USD_t	42.042 (38.790)	34.160 (29.991)	-31.921 (50.219)	22.303 (33.703)	17.287 (24.711)	103.175 (101.298)
TW_t	-5.045*** (0.203)	4.019*** (0.157)	4.358*** (0.263)	1.151*** (0.177)	3.145*** (0.130)	-2.964*** (0.531)
$USD_t \times TW_t$	-23.034 (49.202)	-28.310 (38.041)	-18.481 (63.699)	-54.911 (42.749)	0.352 (31.344)	-143.415* (128.489)
Observ.	1230	1230	1230	1230	1230	1230
R-squared	0.335	0.348	0.183	0.035	0.325	0.026

Note: Standard errors in parentheses.

*** p<0.01, **p<0.05, *p<0.1

Effect of the trade war on currency dependences with USD



Most of the TW_t coefficients are positive, indicating that the CNY depreciated against nearly all its major trading partners' currencies during the trade war.

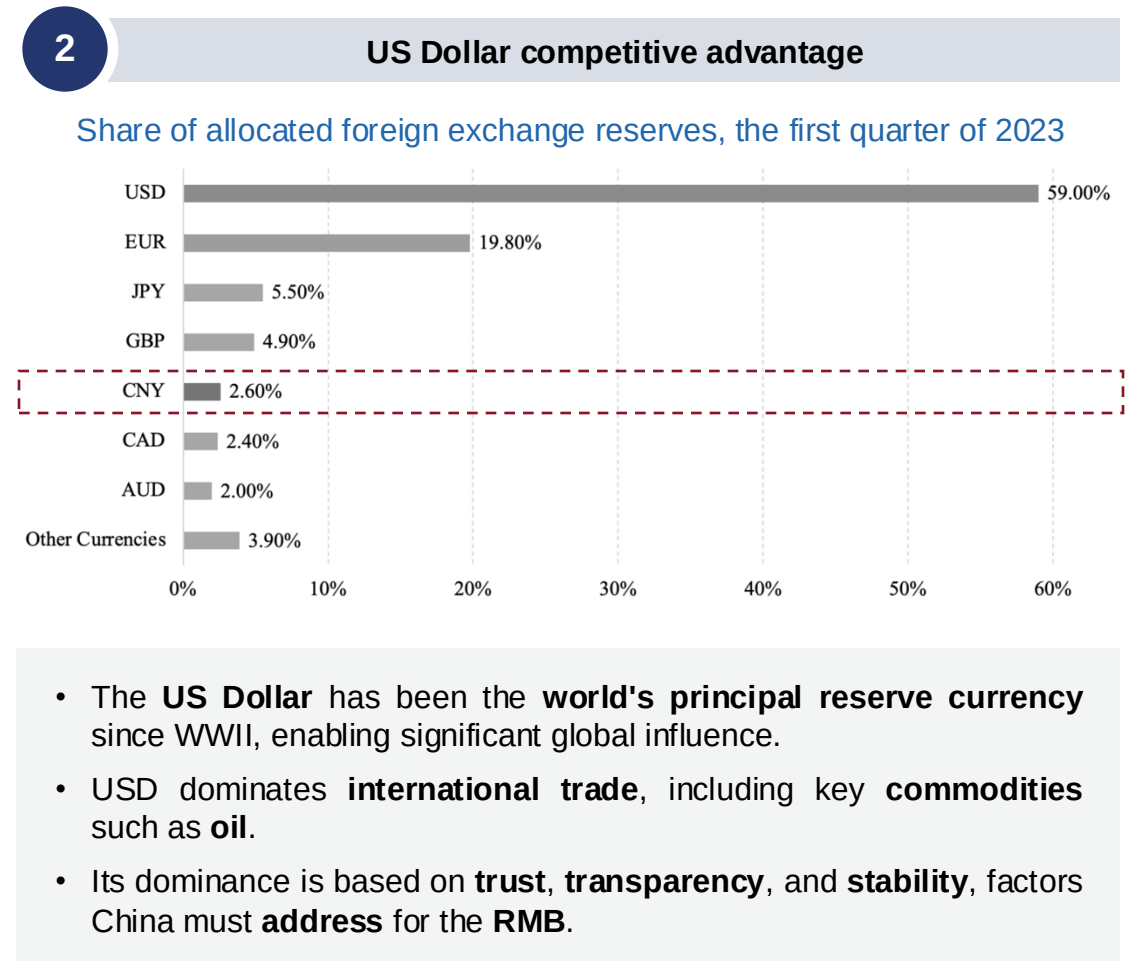
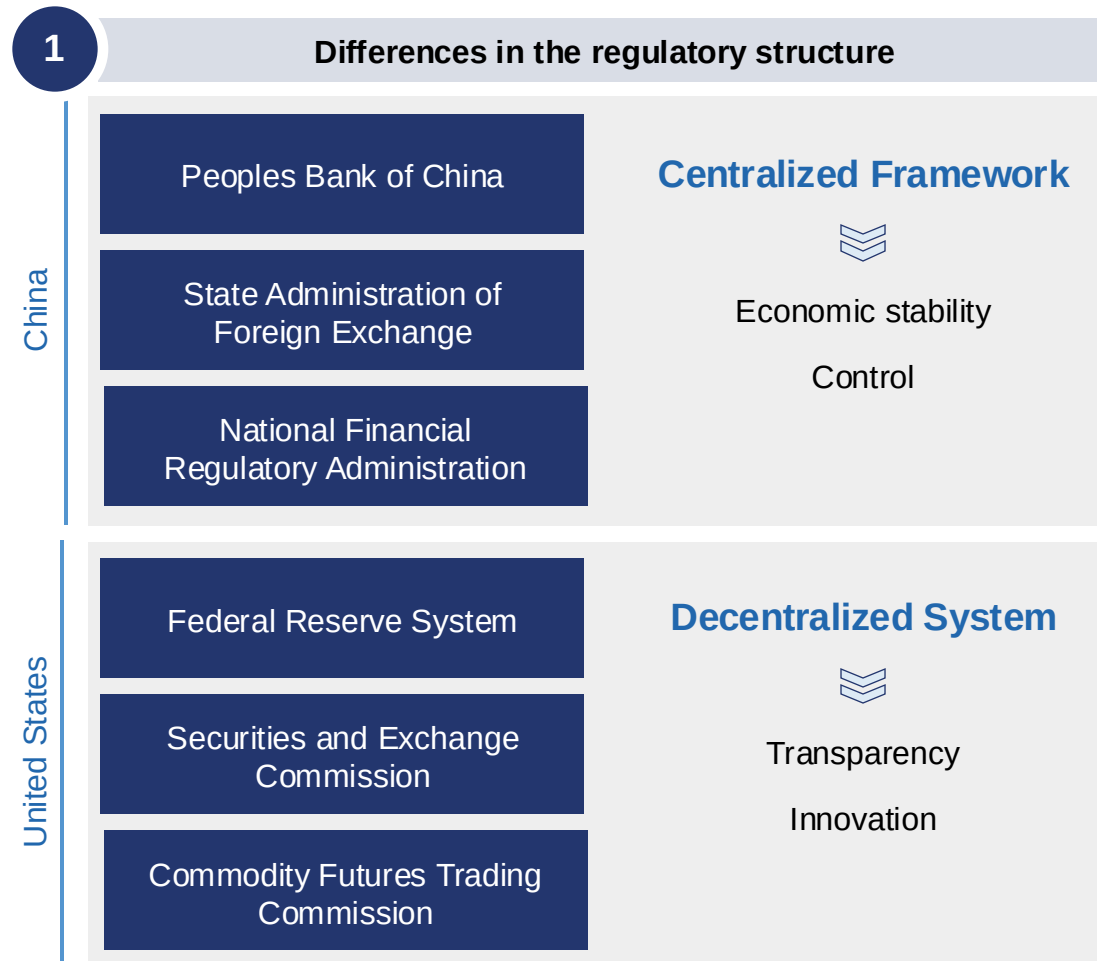
The observed depreciation highlights the **vulnerability** of the RMB to **external shocks**, such as the trade war, underscoring its **relative weakness** in international markets.

Note: Pre-trade war period is January 4, 2016, to March 22, 2018, and the post-trade war phase ends on May 1, 2020

Sources: Own Analysis; Wind

Question 3

The RMB and USD have widely different regulatory structures, with the USD dominating the RMB in most aspects due to its decentralized, transparent system.

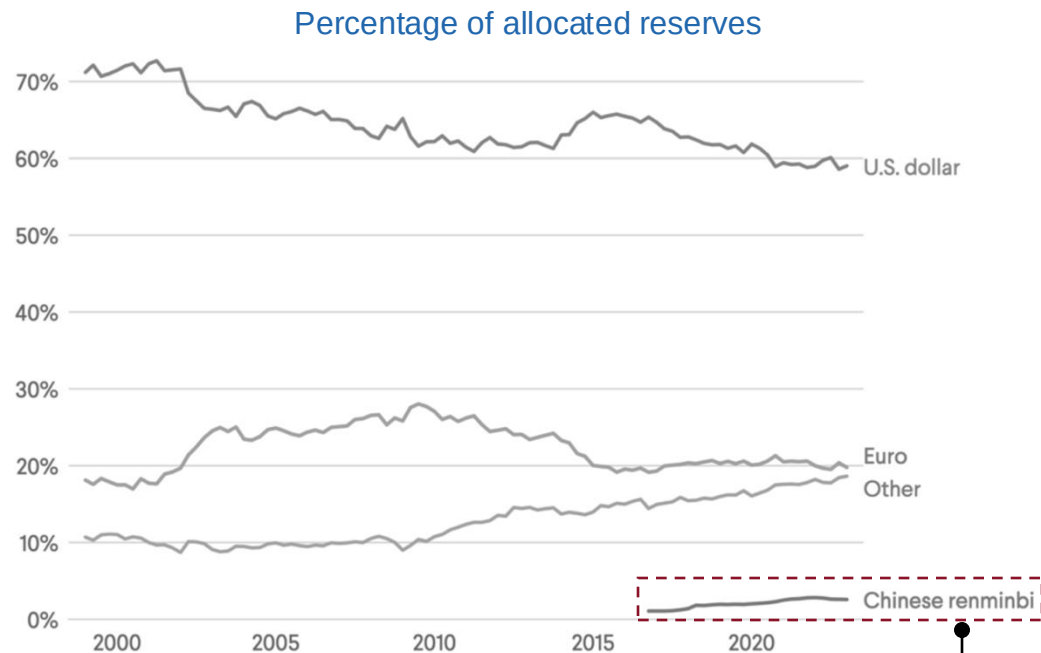


Question 3

Despite accounting for only 3% of global reserves, the RMB could expand its share by improving transparency, especially as the US faces growing economic challenges.

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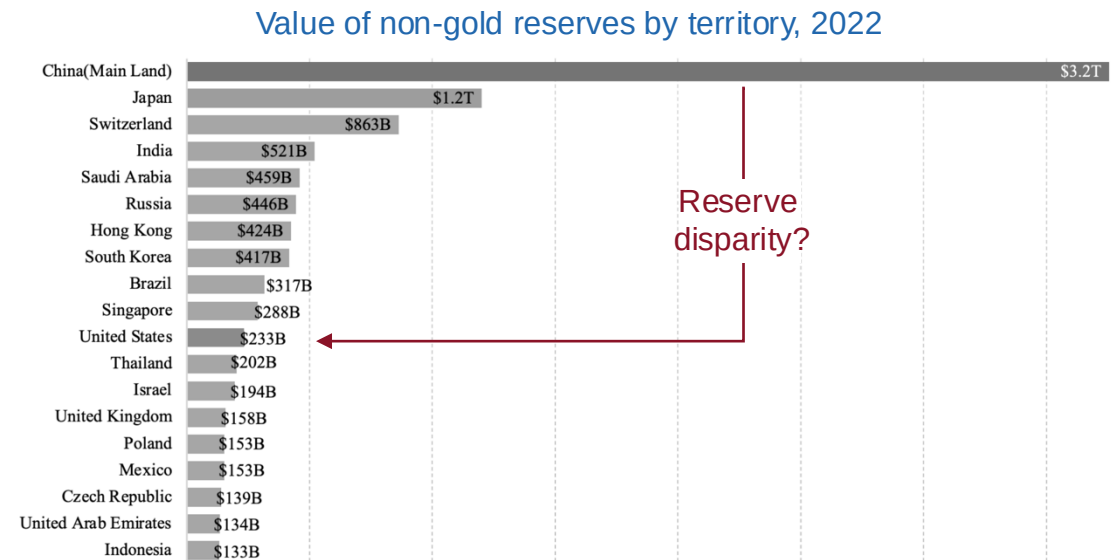
Incremental gains in the internationalization



The RMB holds **3%** of **global reserves** but **lacks the convertibility** and transparency to **challenge the USD's** dominance

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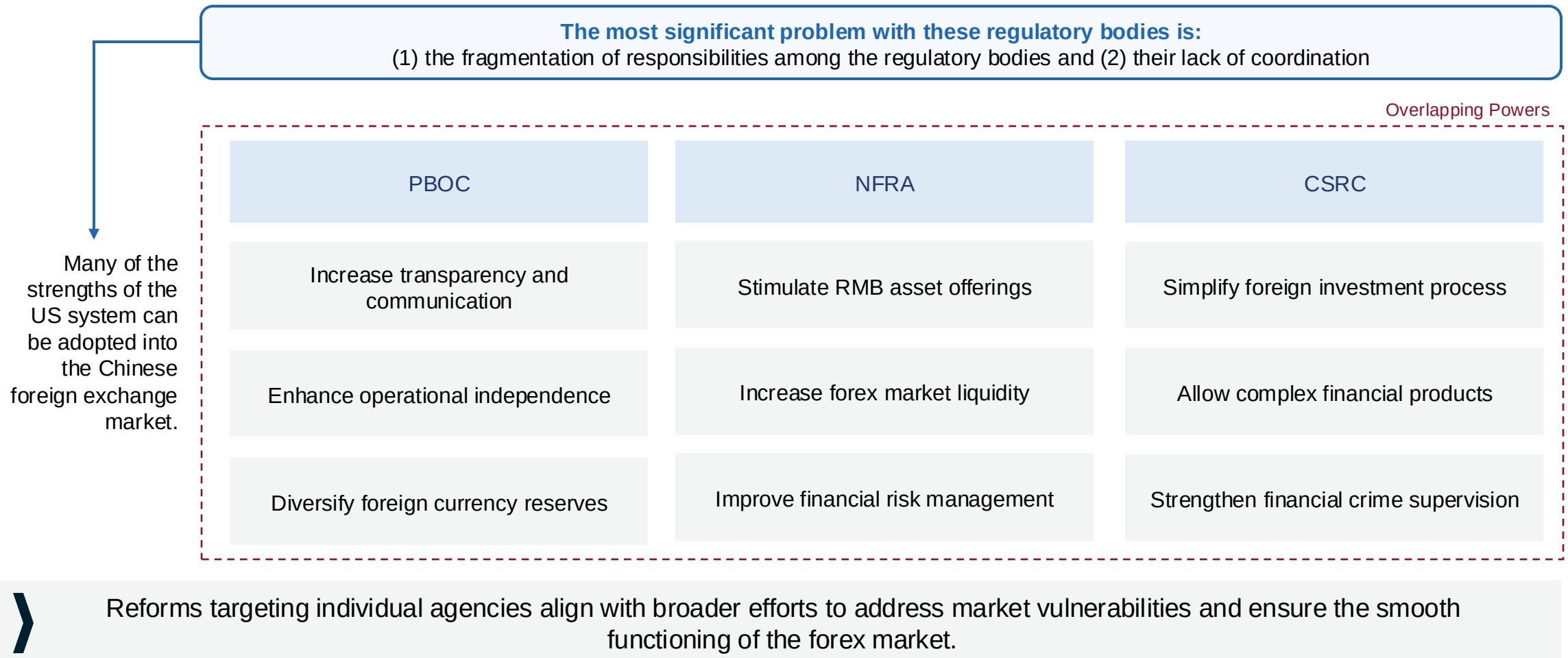
Amount of foreign exchanges each country holds



- China holds **\$3.2 trillion** in **foreign reserves** compared to the US's \$232.7 billion, according to the World Bank.
- This **disparity** has fueled **accusations** of **currency manipulation**, particularly when the RMB was undervalued to boost exports.

Question 2

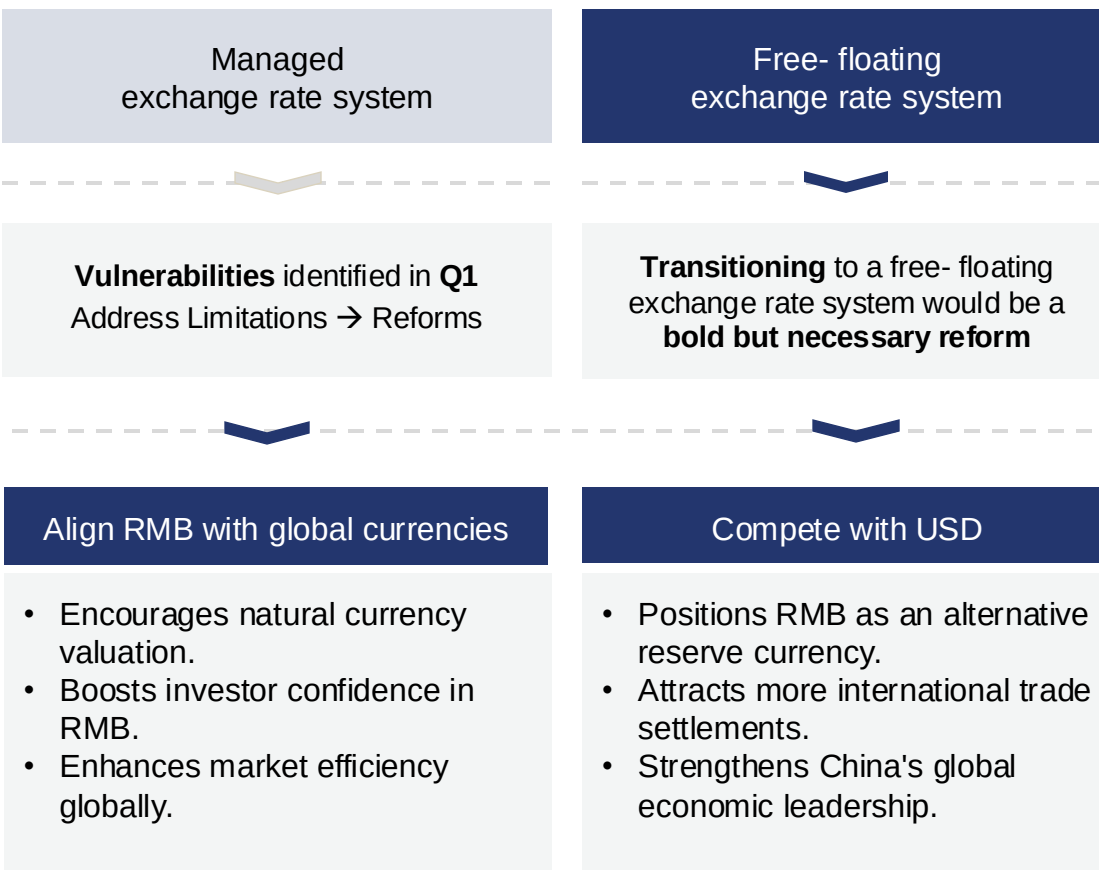
The PBOC, NFRA, and CSRC must address regulatory inefficiencies exposed by RMB internationalization and external shocks to ensure a stable forex market.



Question 4

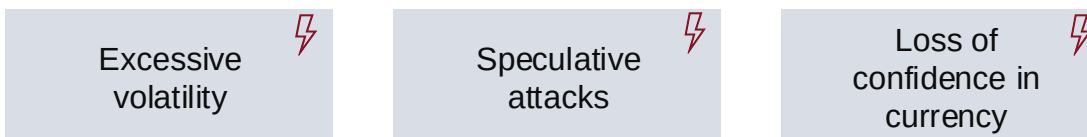
Transitioning to a free-floating exchange rate would align the RMB with market-driven currencies and enable it to compete with the USD globally.

Our proposed financial reform

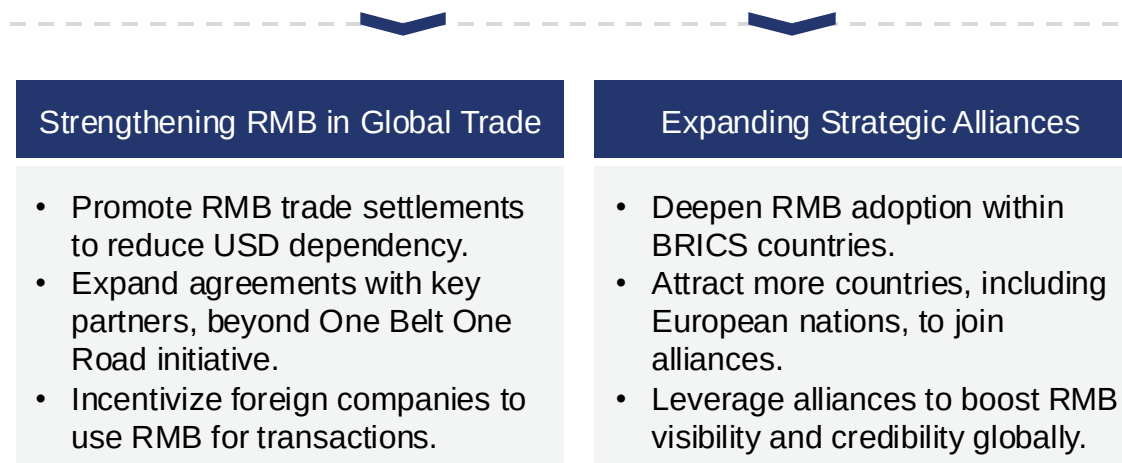


Implementation of the reform

Potential risks experienced by other nations, such as Argentina and Mexico



One way to address this could be to strengthen the RMB's role in global trade and expand strategic alliances.



Question 4

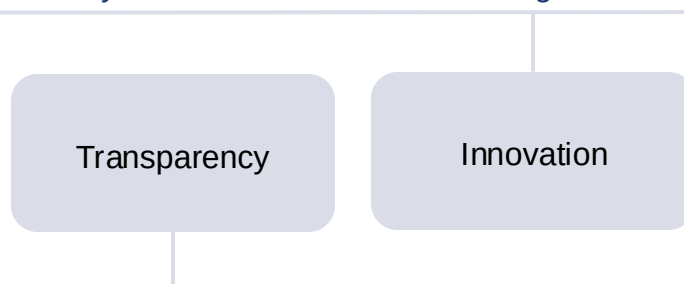
Adopting principles similar to those of the USA, such as transparency and predictability, could significantly enhance the RMB's international credibility.

Implementation is not straight forward – three prerequisites are key



Inspire from the USA: A tale of *transparency* and *innovation*

Leveraging financial technology innovations, such as the digital RMB, can position the currency as an efficient alternative for global transactions.



For RMB to gain broader acceptance globally, transparency in monetary policy & economic data is crucial to build trust with international stakeholders.

How to achieve *Predictability*

- China's regulatory framework needs to be more **predictable** and **aligned** with **international standards**.
- This would **build trust** among global market participants, particularly **foreign investors** and **central banks**, who are **critical** to RMB internationalization.

Example: Monetary Policy Clarity

- Greater **clarity** around the People's Bank of China's **intervention policies** and **monetary goals** would reduce uncertainty and encourage wider acceptance of the RMB.

Question 5

We propose two reforms: opening capital markets to foreign investors and changing the exchange rate system from a managed floating rate to a free-floating rate.

Reform 1: Open its capital markets to foreign investors

Addressed Problem: Despite significant progress in establishing infrastructure for foreign investors to trade RMB-denominated assets, the pace of opening remains insufficient and needs to accelerate.

1 Expanding Currency Conversion Threshold

- ✓ Expanding or eliminating the threshold for currency conversion would allow investors to invest more capital in China, increasing liquidity in capital markets.

2 Reducing Capital Flow Controls

- ✓ Gradually reducing capital flow controls would allow a more fluid flow of capital, creating a more dynamic market, and encourage foreign investors to enter the Chinese market.

3 Simplifying Foreign Investor Approval

- ✓ Simplifying the process to approve foreign investors would lower waiting times and incentivize foreign investors to access the market.

4 Increasing RQFII Program Quotas

- ✓ Increasing quotas for the RQFII program and expanding its scope to allow investment in a wider range of products would make the Chinese market more appealing to foreign investors.

Reform 2: From managed floating rate to a free-floating rate

Addressed Problem: Foreign investors are currently worried about the stability and reliability of the RMB, as China has been repeatedly accused of currency manipulation, especially by the US.

Current system limits RMB flexibility and makes foreign investors skeptical

This brings us to the conclusion drawn in the precedent question:

Changing the exchange rate system from a managed floating exchange rate to a free-floating exchange rate.

Increasing liquidity

Integration with global markets

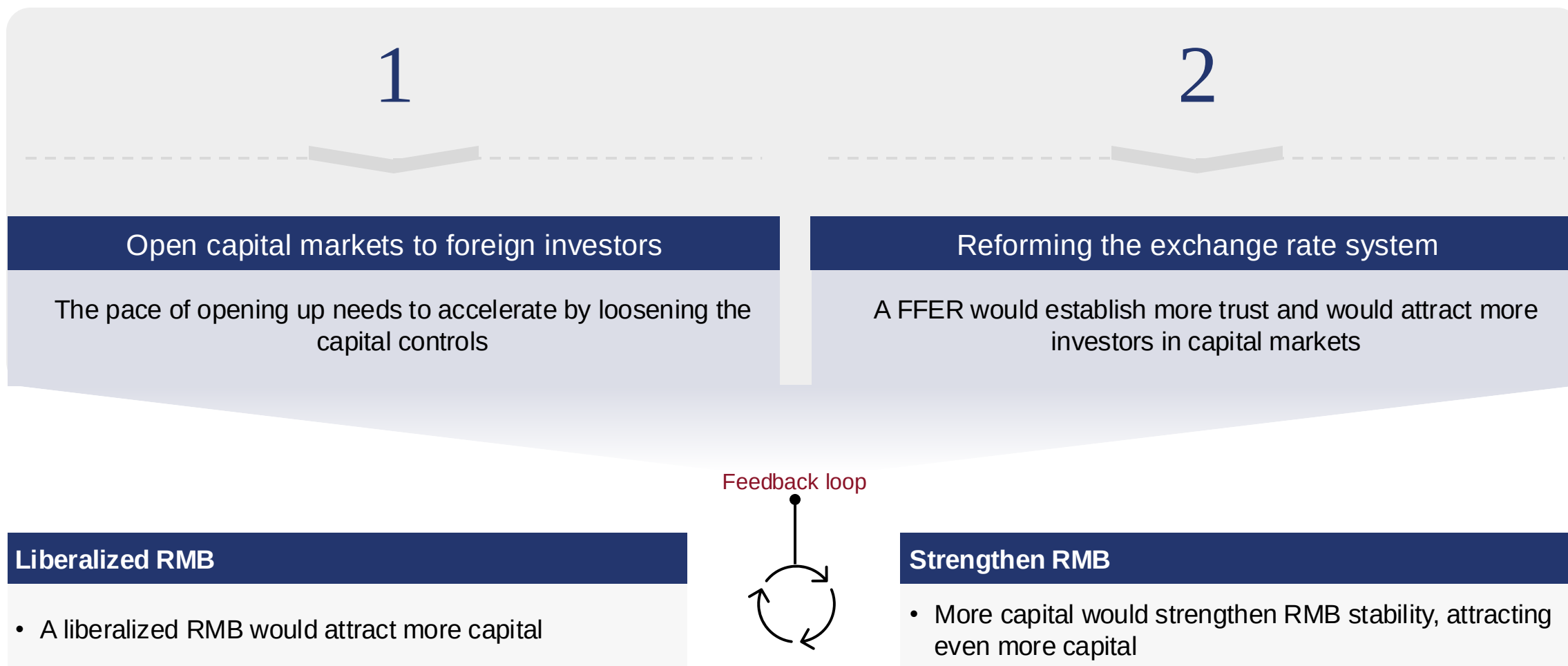
RMB internationalization



A FFER would establish more trust and would attract more investors in capital markets.

Question 5

Our proposed reforms would not only enhance the safety and efficiency of capital markets but also strengthen the RMB's position in the global financial system.



Q&A

The team got its inspiration, factual basis, and data from the following set of sources.

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Financial Markets and Investments in China:

Appendix

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Appendix A – Forex market regulation comparison between China, US, and HK

Aspect	China	United States	Hong Kong
Regulatory Structure	Centralized (PBOC, CSRC, NFRA, SAFE)	Decentralized (Federal Reserve, SEC, CFTC)	Hybrid (HKMA, SFC balancing local/international)
Exchange Rate	Managed floating with PBOC intervention	Free-floating, market-driven	Pegged to USD under Linked Exchange Rate System
Currency Convertibility	Not fully convertible, capital controls limit flow	Fully convertible, no restrictions	Fully convertible, no restrictions
Regulatory Priorities	Economic stability, state control, national goals	Market efficiency, innovation, transparency	Global integration, bridging China and international markets
Role of Central Bank	PBOC manages monetary policy, exchange rate, stability	Federal Reserve targets price stability, employment	HKMA manages policy, banking, USD peg
Policy Transparency	Improving but inconsistent	High transparency, strict SEC disclosure	High transparency, international standards
Investor Protection	Developing, needs improvement	Strong legal framework (SIPC)	Strong legal framework for local and foreign investors
Policy Flexibility	Tied to national priorities	Flexible policies by independent agencies	Limited flexibility due to USD peg
Crisis Resilience	Strong control, stability during crises	Vulnerable to systemic risks, reforms improving	Resilient during crises (Asian Financial Crisis, 2008 GFC)